



Reserve Bank of India

RBI ECL Directions, 2026

Asset Classification, Provi- sioning & Income Recognition

A Comprehensive Summary for Banking & Finance Professionals

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1 **1** Executive Overview

Why This Circular Matters

On April 27, 2026, the RBI issued a landmark regulatory direction mandating all commercial banks in India to adopt the **Expected Credit Loss (ECL)** framework for provisioning, effective **April 1, 2027**. This represents India's most significant shift in credit risk provisioning since the introduction of prudential norms in 1992, aligning Indian banking regulation with **IFRS 9** principles while retaining India-specific safeguards.

1.1 Three Pillars of the New Framework

1. **ECL-Based Staging Framework:** Replaces the backward-looking “incurred loss” model with a forward-looking three-stage approach (Stage 1 / Stage 2 / Stage 3), while retaining the 90-day NPA classification norm.
2. **Forward-Looking Provisioning:** Banks must now incorporate macroeconomic forecasts, probability-weighted scenarios, and point-in-time risk parameters into loss allowance calculations.
3. **Effective Interest Rate (EIR) Method:** Mandates measurement of financial assets at amortised cost using EIR, replacing simple contractual interest rate recognition.

1.2 Key Dates at a Glance

Date	Milestone
April 27, 2026	Circular issued
April 1, 2027	ECL framework effective ; Fair valuation of entire loan portfolio; Opening ECL computed
June 30, 2027	First quarterly reporting under ECL framework
March 31, 2028	First annual reporting with previous year comparatives
March 31, 2030	Deadline for full EIR migration of all outstanding loans
March 31, 2031	End of CET1 transitional adjustment period

1.3 Applicability

The Directions apply to all **Commercial Banks**, which includes banking companies (other than Small Finance Banks, Payment Banks, and Local Area Banks), corresponding new banks, and the

State Bank of India. SFBs, Payment Banks, LABs, and RRBs are excluded from this circular's scope (though SFBs are referenced in the MSME exposure context).

2 2 NPA Classification (Chapter II) – Retained Framework

Key Takeaway

The RBI has **retained** the existing 90-day NPA classification norms. The ECL staging framework operates **alongside** (not in replacement of) NPA classification. Stage 3 under ECL corresponds to NPA / credit-impaired status.

2.1 Conditions for NPA Classification

A financial asset is classified as NPA if **any** of the following conditions are met:

- (1) Interest/principal overdue > 90 days for term loans, bills purchased/discounted
- (2) “Out of order” status for OD/CC accounts (balance exceeds sanctioned limit/DP for 90 days; no credits for 90 days; credits insufficient to cover interest debited in previous 90 days)
- (3) OD/CC drawings permitted for 90 continuous days on stock/receivable statements older than 3 months
- (4) Two crop seasons overdue (short duration) or one crop season (long duration) for agricultural loans
- (5) Liquidity facility outstanding > 90 days in securitisation
- (6) Partial Credit Enhancement outstanding $\geq$ 90 days
- (7) Credit card minimum amount due unpaid for 90 days
- (8) Debt instrument interest/instalment unpaid > 90 days

Borrower-Level NPA

NPA classification is applied at the **borrower level** – if any one exposure to a borrower becomes NPA, **all exposures** to that borrower must be classified as NPA. Upgradation requires repayment of **entire** arrears across **all** facilities.

2.2 NPA Sub-Categories

Category	Duration	Characteristics
Sub-standard	NPA $\leq$ 12 months	Well-defined credit weaknesses; distinct possibility of some loss
Doubtful	Sub-standard for 12 months	Collection/liquidation in full is highly questionable
Loss	Identified by bank/auditors/RBI	Uncollectible; of little value; may have some salvage value

2.3 Special Cases – Key Exceptions

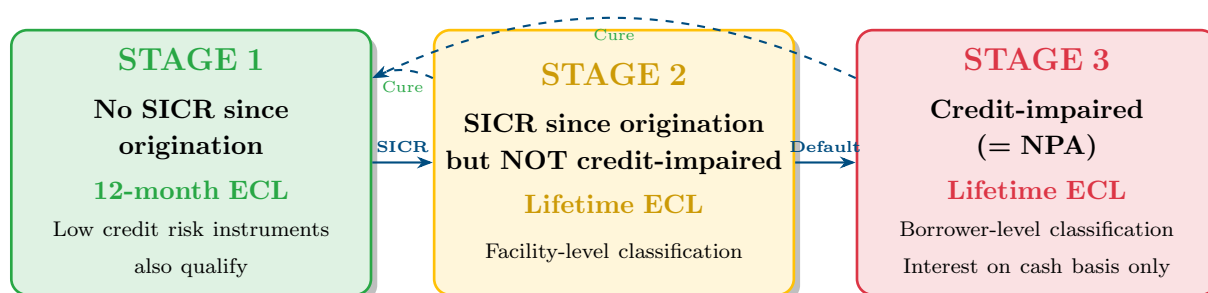
- ▶ **Bills under LC:** Not classified as NPA even if other facilities are NPA, unless LC documents are dishonored and borrower doesn't make good.
- ▶ **Advances against term deposits:** Exempt from NPA if margin $\geq 100\%$ is maintained (except when NPA arises from borrower-level tagging).
- ▶ **Central Government guarantees:** NPA only when government repudiates the guarantee.
- ▶ **Co-Lending Arrangements:** Borrower-level classification applies – if either RE classifies as SMA/NPA, same applies to the other RE's CLA exposure. Information sharing must occur by end of next working day.

3 The ECL Framework (Chapter III) – Core Architecture

3.1 Scope of ECL

The ECL framework covers: loans, debt securities (non-FVTPL satisfying SPPI criterion), trade receivables, lease receivables, loan commitments (including undrawn), off-balance-sheet credit exposures, and any other financial asset with contractual cash flow rights. Investments in subsidiaries, associates, and JVs are **excluded**.

3.2 The Three-Stage Model



3.3 Significant Increase in Credit Risk (SICR)

3.3.1 Rebuttable Presumptions

30-Day / 60-Day Backstop

- **Term loans / amortising facilities:** Rebuttable presumption of SICR when payments are > 30 days past due.
- **Revolving facilities (CC/OD):** Rebuttable presumption when outstanding exceeds sanctioned limit or DP (whichever is lower) continuously for **up to 60 days**.
- Rebuttal requires **reasonable and supportable information** and must not be routine or mechanical.
- Rebuttal policy must be Board-approved and applied consistently.

3.3.2 SICR Parameters (Illustrative – from Annex 1)

Banks can use internal/external rating downgrades, changes in credit spread, CDS prices, adverse macroeconomic outlook, borrower financial distress indicators, collateral value deterioration, covenant breaches, watch-list classifications, and past due information, among others. All criteria must be documented and used consistently.

3.3.3 Exemptions from SICR Testing

The following instruments need not be tested for SICR and do not require Stage 1 ECL: SLR-eligible investments, direct claims on central government, exposures fully guaranteed by central government, and exposures to foreign sovereigns/central banks/MDBs/BIS/IMF attracting 0% risk weight.

3.4 Level of Application

Stage 3 vs. Stage 2 Classification Level

- ▶ **Stage 3:** Applied at the **borrower level** – if any exposure is Stage 3, all exposures (including non-funded) become Stage 3.
- ▶ **Stage 2:** Applied at the **facility level** – only the specific facility showing SICR moves to Stage 2.

4 **4** ECL Computation Mechanics

4.1 ECL Formula

The core ECL computation uses the **PD–LGD–EAD** approach:

$$ECL = \sum_{t=1}^T PD_t \times LGD_t \times EAD_t \times DF_t$$

where DF_t is the discount factor using the Effective Interest Rate, $T = 12$ months (Stage 1) or remaining lifetime (Stage 2/3), and the ECL is the probability-weighted average across multiple macroeconomic scenarios.

4.2 Building Blocks

4.2.1 Probability of Default (PD)

- Stage 1: 12-month PD; Stage 2: Lifetime PD (must reflect higher risk profile, not mechanically derived from Stage 1 PD)
- **Regulatory PD floor:** 0.03% (12-month PD)
- Must incorporate forward-looking macroeconomic variables
- Historical Observed Default Rates (ODR) must be adjusted for current conditions

4.2.2 Loss Given Default (LGD)

LGD Type	Secured	Unsecured
Bank's own estimate	Preferred – based on historical data	
Regulatory backstop LGD	65%	70%
Specific eligible collateral*	30%	–

*Cash, gold (bullion & jewellery), Govt. securities, LIC policy, KVP, NSC

4.2.3 Exposure at Default (EAD)

Banks must estimate EAD appropriately. Credit risk mitigants shall **not** be netted from EAD. For off-balance sheet items, regulatory CCF from capital charge directions may be used if internal estimation is not reliable.

4.3 Probability-Weighted Scenarios

Multiple Scenario Requirement

ECL must reflect an **unbiased, probability-weighted** estimate – neither worst-case nor best-case. Banks must use **multiple macroeconomic scenarios** (base, upside, downside at minimum), each with probability weights determined through historical analysis and expert judgment, subject to governance oversight.

4.4 Effective Interest Rate (EIR)

- New loans (post April 1, 2027): ECL discounted at EIR from inception
- Existing loans: May use contractual rate initially; full EIR migration by March 31, 2030
- EIR calculation includes all contractual terms, fees integral to the rate, and transaction costs
- Must be re-estimated for floating-rate instruments on benchmark rate changes
- POCI assets use Credit-Adjusted EIR

4.5 Lifetime Period Determination

Instrument Type	Lifetime for ECL
Term loans (no undrawn)	Maximum contractual period (incl. extensions)
Loans with undrawn commitment	Period of credit risk exposure, even beyond contractual period
Revolving (CC/OD – no auto-renewal)	Contractual period; renewal date only if substantive reassessment is demonstrated
Revolving with auto-renewal (e.g., credit cards)	Based on historical default patterns, drawdown behaviour, and effectiveness of limit actions
Guarantees	Maximum contractual obligation period

5 5 Prudential Floors for ECL (Section N)

Regulatory Backstop

The RBI has prescribed **product-wise and stage-wise minimum provisioning floors**. Banks' own ECL estimates must **at least** equal these floors. For Stage 1 and 2, floors are applied on a **portfolio basis** (per product category); for Stage 3, floors are applied at the **individual account level**.

5.1 Stage 1 & 2 Floors – Major Loan Product Categories

Loan Product Category	Stage 1	Stage 2
(i) Secured retail loans (100% collateral coverage)	0.40%	5%
(ii) Corporate loans	0.40%	5%
(iii) Loans to Small & Micro enterprises	0.25%	5%
(iv) Loans to Medium enterprises	0.40%	5%
(v) Farm credit to agricultural activities	0.25%	5%
(vi) Loans to Banks, NBFCs, other regulated FIs	0.40%	5%
(vii) Loans against Term Deposits / LIC / KVP	0.40%	0.40%
(viii) Gold loans	0.40%	1.50%
(ix) State Govt. direct / guaranteed exposures	0.40%	2.50%
(x) Unsecured retail loans	1.00%	5%
(xi-a) Housing loans to individuals	0.25%	1.50%
(xi-b-i) CRE (ADC) – 150% RW exposures	1.25%	DCCO-linked
(xi-b-ii) CRE-RH (ADC)	1.00%	DCCO-linked
(xi-c) Other claims – Residential RE	0.40%	1.50%
(xi-d) Other claims – Commercial RE	0.40%	2.50%
(xii-a) Project finance – Pre-operational	1.00%	DCCO-linked
(xii-b) Project finance – Operational	0.40%	5%
(xiii) Central Govt. guarantee schemes (CGTMSE etc.)	0.25%	0.25%
(xiv) Restructured advances – standard	5%	10%
(xv) Residual / other categories	0.40%	5%

5.2 Stage 3 Floors – General Categories (i)–(vi), (xii), (xiv), (xv)

Duration in Stage 3	Secured Portion	Unsecured Portion
0–1 year	25%	40%
1–2 years	40%	100%
2–3 years	55%	100%
3–4 years	75%	100%
After 4 years	100%	

5.3 Stage 3 Floors – Lower-Risk Categories (vii)–(ix), (xi-a), (xiii)

Duration in Stage 3	Secured	Unsecured
0–1 year	10%	25%
1–2 years	20%	100%
2–3 years	30%	100%
3–4 years	40%	100%
> 4 years	100%	

5.4 Stage 3 Floor – Unsecured Retail Loans (x)

Duration in Stage 3	Floor
0–1 year	25%
After 1 year	100%

6 **6** Income Recognition (Chapter IV)

Interest Income Recognition Rules

- **Stage 1 & 2 assets:** Interest recognised by applying EIR to the **gross carrying amount**.
- **Stage 3 / Credit-impaired assets:** Interest shall **not be accrued** and must be recognised on **cash basis only**.
- **POCI assets:** Always on cash basis.
- **On cure/upgrade from Stage 3:** Interest recognition reverts to EIR on gross carrying amount, subject to staging and upgrade conditions.
- **Legacy loans (pre-April 2027):** May use contractual rate initially; must migrate to EIR by March 31, 2030.

7 **7** Transition Arrangements (Section U)

7.1 Fair Valuation on Transition

On April 1, 2027, banks must fair-value their **entire loan portfolio**. Any difference between fair value and carrying amount is adjusted against **opening retained earnings** (not P&L). Where fair value is not materially different from carrying cost, carrying cost is presumed to be the best evidence of fair value.

7.2 CET1 Capital Transitional Relief

Phased CET1 Add-Back

Where ECL exceeds existing IRAC provisions, banks may add back a **declining fraction** of the transitional adjustment amount (net of tax) to CET1 capital:

Financial Year	Max Fraction Added to CET1
2027–28	4/5 (80%)
2028–29	3/5 (60%)
2029–30	2/5 (40%)
2030–31	1/5 (20%)

The add-back flows through to Tier 1 and Total Capital, but shall **not** be: included in Tier 2, used to reduce SA exposure amounts, or used to reduce leverage ratio exposure.

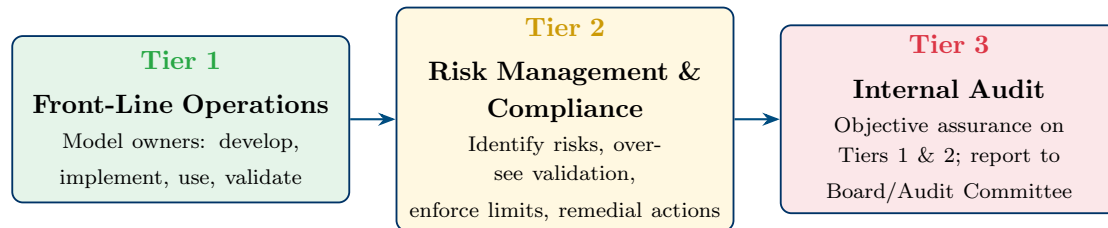
7.3 Transitional Adjustment Formula

$$\text{CET1 Add-Back} = f \times \max(0, ECL_{\text{Apr 1, 2027}} - \text{IRAC Provisions}_{\text{Mar 31, 2027}}) \times (1 - \text{Tax Rate})$$

where f is the applicable fraction for the financial year.

8 Model Risk Management (Chapter V)

8.1 Three-Tier Internal Control Framework



8.2 Key Model Risk Principles

- A. **Comprehensive Model Inventory:** Centralised catalogue of all ECL models with owners, tiering, dependencies, validation status.
- B. **Risk-Based Tiering:** Higher-impact models receive more rigorous and frequent validation.
- C. **Structured Lifecycle:** Development → Pre-implementation validation → Implementation → Monitoring → Independent validation → Recalibration/Retirement.
- D. **Macroeconomic Integration:** Multiple scenarios, probability-weighted, with documented variable selection and linkage rationale.
- E. **Post-Model Adjustments (PMAs):** Management overlays must be documented with justification, calculation criteria, and validation triggers.
- F. **Third-Party Models:** Banks remain fully responsible. Contractual agreements must ensure access to minimum technical documentation, and enable RBI supervisory evaluation.

9 Governance Framework

Board-Level Oversight

- The Board of Directors has ultimate oversight of ECL implementation and ongoing functioning.
- A Board/Board-approved committee (including CFO and CRO) must oversee: ECL strategy, methodology consistency, data integrity, governance over estimation, model validation independence, disclosure quality, and regulatory compliance.
- Banks must ensure data granularity, effective segmentation, and avoid grouping that masks individual exposure deterioration.
- ECL estimates must be unbiased, with adequate processes, systems, and controls.

10 **10** Disclosures & Reporting (Chapter VI)

10.1 Disclosure Requirements (Annex 4)

The RBI has prescribed detailed disclosure templates:

Table 1: Credit quality of financial instruments (loans, investments, commitments/guarantees) – stage-wise with past-due ageing

Table 2: Summary of loan assets – gross/net carrying amounts by stage

Table 3: Reconciliation of loss allowance (opening to closing) – for loans, investments, loan commitments, financial guarantees, and others

Table 4: Approach for ECL (PD, EAD, LGD methodology) – quarterly to RBI

Table 5: Macroeconomic assumptions – scenarios (base/upside/downside) – to RBI only

Table 6: ECL adjustments (PMAs, overlays) – to RBI only

Table 7: ECL data (forward-looking PD/LGD by stage) – to RBI only

Table 8: SICR criteria by loan product category – to RBI only

Table 9: Reconciliation of opening reserves – to RBI by June 30, 2027

Table 10: Details of Gross/Net Advances and NPAs

10.2 Reporting Timeline

First ECL reporting is based on financial position as on June 30, 2027. Banks must continue parallel IRAC reporting until December 31, 2027. Full comparatives with previous year begin from March 31, 2028.

11 **11** Additional Provisions & Special Cases

- ▶ **Stressed Assets Resolution:** Additional provisioning as per the Resolution of Stressed Assets Directions, 2025.
- ▶ **Fraud Accounts:** Full provisioning of the amount due immediately upon fraud detection (adjustable for eligible financial collateral).
- ▶ **Foreign Currency Loans:** Exchange rate revaluation gains on NPA foreign currency loans must be used for additional provisioning.
- ▶ **Wilful Defaulters:** Additional 5% provision over ECL for exposures to companies with directors on the wilful defaulter list.

- ▶ **Collateral Valuation (Stage 3):** For exposures > 7.5 crore, collateral must be valued at classification and at least every 2 years (stock: annually).
- ▶ **Default Loss Guarantee (DLG):** May be considered in ECL across all stages, provided DLG is integral to loan terms and not separately recognised. ECL must be recomputed on each DLG invocation.
- ▶ **Floating / Countercyclical Provisions:** May be utilised towards ECL provisioning.
- ▶ **ECL on Investments:** Same product-category floors apply based on issuer category. FVTPL non-performing instruments attract Stage 3 residual-category provisioning.
- ▶ **Simplified Approach:** Available for trade and lease receivables – always lifetime ECL using a provision matrix based on historical loss rates adjusted for forward-looking information (Annex 2).

12 **12** IRAC vs. ECL – Key Differences

Dimension	Old IRAC Regime	New ECL Framework (2026)
Loss model	Incurred loss (backward-looking)	Expected loss (forward-looking)
Provisioning trigger	After default (90 days overdue)	From Day 1 (12-month ECL on origination)
Asset stages	Standard / NPA sub-categories	Stage 1 / Stage 2 / Stage 3 + POCI
Standard asset provision	Flat percentage (0.25%–2%) by sector	Model-based ECL with product-wise floors
NPA provisioning	Fixed percentages by NPA category	ECL model output subject to progressive Stage 3 floors
Interest rate basis	Contractual rate	Effective Interest Rate (EIR)
Fair valuation	Not required at transition	Entire portfolio fair-valued on April 1, 2027
Macroeconomic inputs	Not formally required	Mandatory multiple scenarios, probability-weighted
Model governance	Not specifically prescribed	Three-tier model risk management + validation framework
Capital impact	Direct P&L hit	Transitional CET1 add-back over 4 years

13 **13** Implications for Indian Banks

13.1 Immediate Action Items

- ECL Model Development:** Build or procure PD, LGD, and EAD models for each portfolio segment. Ensure forward-looking macroeconomic variable integration.
- Data Infrastructure:** Establish granular, historical loss databases. Minimum data periods must capture full business cycles.
- SICR Policy:** Define and document SICR criteria, rebuttal policies, and Board-approved thresholds.
- EIR Computation Systems:** Upgrade core banking systems to compute and track EIR for all financial assets, including fee amortisation.
- Fair Valuation Preparedness:** Develop methodologies for Day 1 fair valuation of the entire loan book.
- Capital Impact Assessment:** Quantify transitional adjustment and plan capital management strategy across the 4-year phase-in.

7. **Governance Structure:** Establish Board-level ECL committee, three-tier model risk framework, and model validation function.
8. **IT & Automation:** Ensure automated staging, provisioning, income recognition, and audit trails aligned with Annex 3 requirements.

13.2 Expected Impact on Bank Financials

- **Higher provisioning on Day 1:** Stage 1 ECL on the entire performing book is a new cost absent under IRAC.
- **Earnings volatility:** Forward-looking ECL will fluctuate with macro forecasts, creating provisioning cyclicality.
- **CET1 impact:** Mitigated by 4-year transitional relief, but banks with weak capital positions face pressure.
- **Pro-cyclicality concerns:** Downturns will trigger mass Stage 1 → 2 migrations, amplifying provision charges.
- **Operational costs:** Significant investment in data, models, validation, and governance infrastructure.

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